

**MBA-INT
(SEM VIII) THEORY EXAMINATION 2022-23
CORPORATE ACCOUNTING**

Time: 3 Hours

Total Marks: 100

Note: Attempt all Sections. If require any missing data; then choose suitably.

SECTION A

1. Attempt all questions in brief.

2x10 = 20

- a. Define current asset.
- b. What is meant by red herring prospectus?
- c. What do you understand by operating cycle?
- d. Differentiate between gross and net profit.
- e. Define bearer debentures.
- f. What do you understand by managerial remuneration?
- g. What is profit post incorporation?
- h. Differentiate between equity shares and preference shares.
- i. Discuss any two advantages of right issue.
- j. What is meant by redemption of debentures?

SECTION B

2. Attempt any three of the following:

10x3=30

- a. Discuss the various types of underwriting.
- b. Explain the meaning and classification of debentures.
- c. Discuss the various provisions of Companies Act relating to maintenance of final accounts.
- d. Differentiate and explain the concept of profit prior and post incorporation.
- e. What do you understand by reconstruction? Differentiate between internal and external reconstruction.

SECTION C

3. Attempt any one part of the following:

10x1=10

- a. Explain the preparation of post reconstruction balance sheet.
- b. Provide the accounting treatment in case of internal reconstruction.

4. Attempt any one part of the following:

10x1=10

- a. Why it is necessary to find out profit prior and after incorporation? Explain in detail.
- b. Discuss the allocation of various expenses.

10x1=10

5. Attempt any *one* part of the following:

- a. Discuss about the necessity and significance of preparation of companies final accounts.
- b. What are the key implications of accounting standard on financial reporting and corporate accounting practices.

10x1=10

6. Attempt any *one* part of the following:

- a. Provide the accounting treatment of redemption of debentures in case of out of profit and out of capital method and own debentures method.
- b. Arjun Plastics Limited redeemed 1,000, 15% debentures of Rs 100 each by converting them into equity shares of Rs 10 each at a premium of Rs 2.50 per share. The company also redeemed 500 debentures by utilizing Rs 50,000 out of profit. Give the necessary journal entries.

10x1=10

7. Attempt any *one* part of the following:

- a. Differentiate between fixed price offer and book building method. Also discuss the features of book building method. <https://www.pyqonline.com>
- b. Differentiate between bonus and right shares. Also discuss the SEBI guidelines in issue of bonus shares.